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RATES SPARK

Rates Spark: The Treasury's plan for the back end

It's clear that the US Treasury is ready to place a limit to the upside for longer-dated yields. The impact of the increased buybacks is not so much on the doubling of them in long dates, but more so on the implied reality that they could be doubled again, and again if needed. But given what we have now, and until then, upward pressure on long yields will remain



With the US Treasury doubling the buybacks of long-dated bonds, there is the possibility they could do it again and again

As noted [here](#), the Treasury's decision to increase buybacks in longer durations smacks of discomfort with the sell-off seen in longer tenor Treasury securities of late. It's been impactful, with the 10-30-year yields down 5-10bp to begin with. The official genesis of the buyback programme, back in May 2024, was to bolster liquidity, and indeed, that was the rationale employed to explain away the announced doubling of buyback sizes in the 10yr to 30yr maturities. If we annualise the quarterly rhythm, that nets an additional US\$18bn of buybacks through these tenors. That stretches the buyback programme from US\$38bn to US\$56bn (of which US\$36bn in the 10-30 yrs). On top of that, there is US\$25bn in the 1-2 year area for cash management purposes. While the entire buyback programme is actually less in size than one regular 2yr auction event, it's still chunky.

We've also made the point that these buybacks need to be subsequently re-financed. And they do. However, the important nuance here is that for any given steady-state coupon issuance rhythm (which we've had and are likely to continue to have), any additional buybacks must, by definition, be financed through extra bills issuance (as bills are the variable that the Treasury must deploy with on a fixed bond issuance programme). This morphs the impact of the additional buybacks into a structural impact on long-dated bonds outstanding, as they effectually get replaced by rolling bills issuance. It's a zero-sum game from the Treasuries perspective, but from the markets' perspective, it adds to bills issuance, and has a bigger effect through lower long-duration net issuance.

We'd maintain the view that this move is unlikely on its own to change the trajectory for long-end yields. It does mute it though. And moreover, it reminds the market that the Treasury could double the long tenor buyback sizes again, and again if needed. That's the real kicker from this move: the anticipation for more should long-dated yields decide to morph higher again in an overly sinister fashion in the days and weeks and months ahead. Given that, we'd continue to identify upward pressure on long-end yields as a dominant factor that the market will need to deal with. But muted it absolutely is.

Note that this is not quantitative easing. It is long-end buying by the Treasury, effectively financed through buying more bills. As a stand-alone factor, it places a flattening impulse on the curve, thus muting the net steepening that we continue to anticipate. We're still of the opinion that the 10yr yield has a risk factor move in it to the 4.75% to 5% zone. And for now, it's unlikely to get much below 4.5%, but one thing has become more clear from this is any move above 5% (or even the material threat thereof), would likely be actively resisted/prevented by the US Treasury Department.

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